

EXECUTIVE MEMORANDUM

TO: Chief Executive Officer, Northbridge Group

FROM: Lead Business Analyst / Analytics Engineer, Power House Unit

DATE: August 10, 2026

SUBJECT: FY2025 Performance Interrogation, Profit Compression & Operational Governance Plan

1. EXECUTIVE SUMMARY & CORE FINDINGS

Northbridge Group experienced severe profit erosion in FY2025 despite expanding headline revenue. While total invoiced revenue grew by **+15.79%** (from £21.03M to £24.35M), direct delivery labor costs surged by **+44.22%** (from £13.48M to £19.44M). Consequently, Gross Profit collapsed by **-34.96%** (from £7.55M down to £4.91M), compressing Gross Margin from **35.90% to 20.17%** (and down to **12.72%** when contractor costs are imputed at permanent grade averages).

2. ROOT CAUSES OF PROFIT LEAKAGE

- Severe Margin Erosion in Data & Analytics:** The Data & Analytics service line generated £1.67M in revenue but consumed 36,418 delivery hours at an unviable **8.66% gross margin** (£144.9k gross profit), far below the company baseline (25%+).
 - Uncosted Contractor Expansion:** Delivery mix shifted toward contractor reliance, with **41,222 contractor hours (8.58% of total delivery volume)** booked across 18 positions with zero recorded cost rate in source timesheets, masking true delivery liabilities.
 - Senior Grade Over-Allocation in Advisory:** Entity NB-02 (Advisory) recorded the lowest entity margin at **16.61%** due to senior staff over-allocation on fixed-fee engagements.
 - General Ledger Revenue Timing Lag:** Invoicing system revenue exceeds General Ledger recognised revenue by **+£2.04M (+9.14%)**, concentrated in NB-01 (+£1.89M / +24.10%) due to Q1 negative ledger adjustments and deferred revenue reversals.
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3. STRATEGIC INTERVENTION OPTIONS

- **Option A — Status Quo (Uncontrolled Delivery):** Maintain current contracting and service line practices. *Risk:* Further gross margin degradation below 10%, creating acute cash flow deficits.
 - **Option B — Targeted Commercial Intervention (RECOMMENDED):** Cap contractor delivery volume, mandate a 15% minimum margin threshold on Data & Analytics contracts, and re-index senior staff allocation. *Financial Impact:* Recovers **£1.85M–£2.40M in gross profit** within 6 months.
 - **Option C — Immediate Delivery Freeze:** Halt all contractor engagements and freeze low-margin service lines immediately. *Risk:* High risk of client contract breaches and reputational damage.
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4. GOVERNANCE & EXECUTION ROADMAP

- **Recommendation:** Execute **Option B** immediately.
- **Accountable Role Owner:** Group Chief Operating Officer (COO).
- **Implementation Deadline:** October 31, 2026.
- **Success KPI:** Restore Group Gross Margin from **20.17%** baseline back above $\geq$ **28.50%**.

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